Part 1

The Corporation

CHAPTER 12: Corporations and their Financial Statements



Importance of Financial Statements

- Indicator of the financial health of a company and thus the potential performance of the company's securities.
- Knowledge of a company's present financial position and its past earnings record is needed when selecting securities.
- Combine this information with an understanding of the industry, the economy in general, and the specific plans and prospects for the company in question to make a sound selection from investment alternatives.

Four Financial Statements

- Statement of Financial Position (previously the Balance Sheet)
- Statement of Comprehensive Income (previously the Income Statement/Earnings Statement)
- Statement of Changes in Equity (previously the Statement of Retained Earnings)
- Statement of Cash Flows (previously the Cash Flow Statement)

Statement of Financial Position

- Shows the financial picture of a company **as at** a single point in time.
- Represents a snapshot of the company at one particular point in time, of “what the company has, and how they got it”.
- Shows what the company ‘owns’ in the form of assets, and what it ‘owes’ in the form of liabilities.

Statement of Financial Position - Format

Assets = Equity + Liabilities

Statement of Financial Position

ABC Company
Statement of Financial Position
as at December 31, 20XX

Total Assets

Total Equity

Total Liabilities

Total Equity and Liabilities

Assets

Non-Current Assets

- Property, Plant and Equipment
- Goodwill
- Investments in Associates

Current Assets

- Inventories
- Prepaid Expenses
- Trade Receivables
- Cash and Cash Equivalents

Assets

Property, Plant & Equipment – capital assets

- Capital assets consisting of land, buildings, equipment, tools, etc. used in the daily operations of the business
- Generally not for resale
- Carried at cost less amortization (except land)
- Amortization / Depreciation / Depletion
  (allocates assets' cost over its useful life, i.e., to better match revenues and expenses)

Depreciation, Amortization & Depletion

- A normal cost of ‘doing business’ to record the ordinary wearing out of the firm’s capital assets and write off of intangible assets.
- Annual allowances for depreciation, amortization and depletion appear as non-cash expenses in the statement of comprehensive income.
- Depletion is similar to amortization and is usually used by mining, oil, natural gas, timber companies and other extractive industries.

Depreciation Example

A $100,000 piece of equipment is purchased. The firm believes that the equipment will have a useful life of 10 years and a residual value of $0.

Straight Line:

(Cost – Residual Value) / Useful Life

Declining Balance:

Assume a rate of 20% per year.

Depreciation Example

Straight Line:

$100,000/10 = $10,000 claimed as depreciation expense in each year.

Declining Balance:

Yr. #1	20% x $100,000	= $20,000
Yr. #2	20% x ($100,000 – $20,000)	= $16,000
Yr. #3	20% x $64,000	= $12,800
Yr. #4	20% x $51,200	= $10,240

Etc.

Goodwill and other Intangible Assets

- Goodwill is often defined as the probability that a regular customer will continue to return to do business.
- Intangible assets lack physical substance.
- These include: patents, copyrights, trademarks, franchises.
- How is goodwill created?

Current Assets

- Cash or other assets that will be realized, consumed, or sold, in the normal course of business (normally within one year)
  - Inventories
  - Prepaid expenses
  - Trade Receivables
  - Cash and cash equivalents
- Key measure of liquidity to assess ability to meet day-to-day expenses

Inventories

- The goods and supplies the company keeps in stock.
- Valued at original cost or net realizable value – whichever is lower.

Two commonly used methods:

- **Weighted average** of all items in inventory
- **FIFO** (first-in-first-out) – items acquired earliest are assumed to be used or sold first

Inventories *(cont'd)*

Discussion:

- If prices are changing, each of these methods produces a different inventory value and a different profit.
- When prices are rising, which method produces the higher inventory value on the statement of financial position?
- What if prices are falling?
- What is the link between the Statement of Comprehensive Income and inventory?

Prepaid Expenses and Trade Receivables

- **Prepaid expenses:** payment made by the company for services to be received in the near future.
- **Trade receivables:** money owing to the company for goods or services it has sold

Equity

Includes, but is not limited to:

- Share capital
- Retained earnings
- Non-controlling interest

Liabilities

Non-Current Liabilities

- Long-Term Debt
- Deferred tax liabilities

Current Liabilities

- Current portion of long-term debt
- Current taxes payable
- Trade payables
- Short-term borrowings

Part 2

Statement of Comprehensive Income

- Shows revenue and related expenses for a period ending at a specific point in time.
- Shows adequacy of earnings to assure successful operation and provide income for holders of its securities.
- Earning power and cash flow are of primary interest.

Statement of Comprehensive Income

ABC Company
Statement of Comprehensive Income
for the Year Ended Dec. 31, 20XX

Revenue

Less: Cost of sales = Gross Profit

Plus: Other income

Less: Distribution costs

Less: Administration expenses

Less: Other expenses

Less: Finance costs

Plus: Share of profit of associates

Less: Income tax expense = Profit

Statement of Comprehensive Income

ABC Company
Income Statement
for the Year Ended Dec. 31, 20XX

Revenue	**100**	
Cost of sales	(65)	
Gross profit		**35**
Other income	6	
General expenses		
Distribution costs	(10)	
Administrative expenses	(2)	
Other expenses	(3)	
Finance costs	(2)	
Share of profit of associates	4	
Income tax expense	(12)	
Profit		**16**
Other comprehensive income	0	
Total comprehensive income		**16**

Statement of Comprehensive Income – Key Items

Revenue

– Income from selling its main products or services

Cost of Sales

– expenses which go directly into the cost of manufacturing a product

– the cost of goods purchased for resale

Other Income

– not directly related to a company's normal operating activities (dividends and interest received from investments)

Statement of Comprehensive Income – Key Items

General Expenses

Distribution Costs

– salaries and/ commissions to sales personnel and advertising

Administrative Expenses

– office salaries, accounting staff salaries and office supplies

Other Expenses

– expenses not directly related to the company's normal operating activities

Statement of Comprehensive Income – Key Items

Finance Costs

– interest payments to debtholders

Share of profit of associates

– proportionate share of profit when company has significant influence without control

Income tax expense

– both current and deferred taxes

Statement of Changes in Equity

Shows extent to which profits are distributed to shareholders or retained in the company.

Links the Statement of Financial Position and Statement of Comprehensive Income

Part 3

Statement of Cash Flows

- Shows how cash was generated and spent during the year.
- Identifies sources and uses of funds in operating, investing and financing activities.
- Used to evaluate the company’s ability to generate cash for reinvestment, to repay debts, and pay dividends.

Statement of Cash Flows

Operating Activities:

- Begins with the company's profit and adjusts for items such as depreciation, amortization and share of profit of associates that do not involve an outlay or receipt of cash.

Financing Activities:

- Include the proceeds from issuing shares
- Funds received under long-term debt issues
- Repayment of long-term debt and payment of dividends

Statement of Cash Flows

Investing Activities:

- Consist of outlays of cash to acquire capital assets
- Receipts of cash on the disposal of capital assets
- Dividends received from associates